Infosys Limited
DCF Valuation Study FY26E - FY30E

Company overview, problem statement, methodology, forecasts and valuation
Based on the audited consolidated financial statements for FY2024-25 and FY2023-24

Valuation date: 31 March 2025 | Currency: Indian Rupees (Rs crore; 1 crore = 10 million) | Companion file: Infosys_DCF_Model.xlsx

Headline output (Base case)	
Blended intrinsic value per share	**Rs 1,286**
Market price at 31-Mar-2025 (company-reported market cap / shares)	Rs 1,573
Upside / (downside) to market price	**-18.3%**
Gordon growth / exit multiple value	Rs 1,186 / Rs 1,386
Bear - Bull range (blended)	Rs 1,047 - Rs 1,506
WACC / terminal growth	11.7% / 5.5%
Enterprise value (Gordon)	Rs 4.53 tn (Rs 453,040 crore)

How to read this pack: the Excel model contains every number (live formulas, scenario switch, sensitivities, integrity checks). This PDF explains the company, frames the valuation problem, documents the method and judgements, and prepares the interview talking points. Amounts are in Rs crore unless stated; Rs 1 tn = Rs 1 lakh crore.

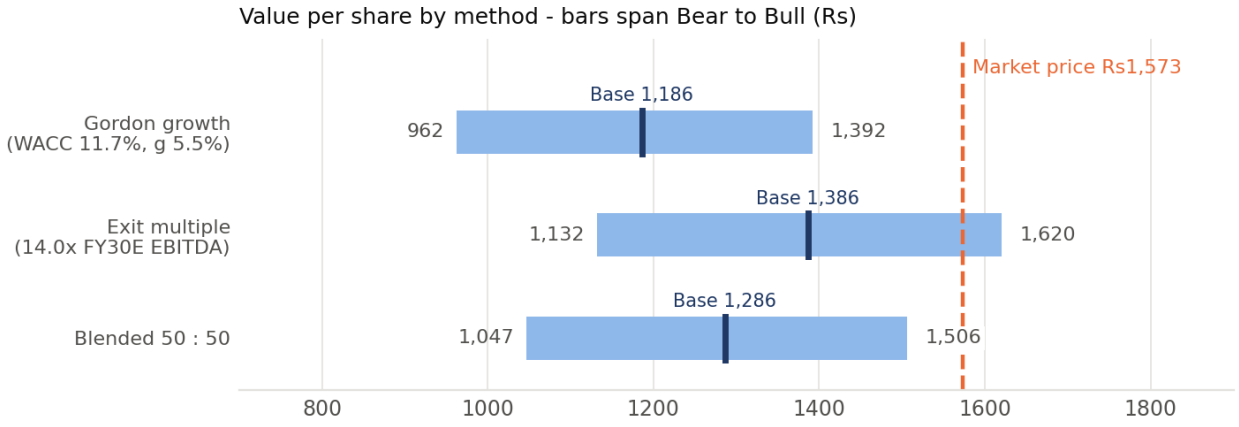
1. Executive summary

Question. What is Infosys's intrinsic equity value per share at the start of FY26 (31-Mar-2025), and does the market price of about Rs 1,573 (24.4x trailing earnings) stand up to a cash-flow valuation?

Answer. Our Base case DCF gives Rs 1,286 per share (Gordon growth Rs 1,186, exit multiple Rs 1,386), 18% below the market price. The Bear to Bull range is Rs 1,047 to Rs 1,506, so even the Bull case sits below the market price. The market is paying a quality-and-safety premium: Infosys has no debt, converts more than 100% of profit into cash and has a stable 20-22% margin. On our assumptions that premium is not fully supported by cash flows unless growth reaccelerates to 9-10% a year or the discount rate is closer to 10.7% (section 10).

Five findings that drive the answer

- **A net-cash, asset-light compounder.** No borrowings; cash and investments of Rs 47,996 crore (32% of total assets); capex only 1.4% of revenue; free cash flow Rs 33,457 crore in FY25 (125% of profit). Because there is no debt, WACC is almost equal to the cost of equity (11.7%).
- **Growth is the debate.** Revenue grew 6.1% in INR in FY25 but only 4.2% in constant currency. Our Base case builds revenue by vertical in US$ (about 2.2% in FY26E rising to 6.7% by FY29E) and adds 1.5-2% a year of rupee depreciation, giving an INR CAGR of 7.0% to FY30E.
- **Margins are range-bound, not expanding.** Operating margin was 21.1%, 20.7%, 21.1% over FY23-FY25. We hold it at 20.5%-21.1% (management's own 20-22% band) because employee cost per head (+4-4.5%) grows broadly in line with revenue per head.
- **Terminal value is 77% of enterprise value** and Gordon growth of 5.5% is justified as about 4% US$ growth plus about 1.5% rupee depreciation. WACC and terminal growth are the key sensitivities.
- **The bridge is simple.** Enterprise value of Rs 4.53 tn plus net cash of Rs 0.40 tn (cash and investments less leases) less minorities gives equity of Rs 4.92 tn, or about 8% of equity value in cash.



2. Company overview

Infosys is one of the world's largest IT services and consulting companies. Founded in 1981 and headquartered in Bengaluru, it serves enterprise clients in 59 countries across 292 locations. FY25 revenue was Rs 162,990 crore (US$19.3 bn), operating profit Rs 34,424 crore (21.1% margin) and profit for the year Rs 26,750 crore. The group employed 323,578 people at 31-Mar-2025.

Business model

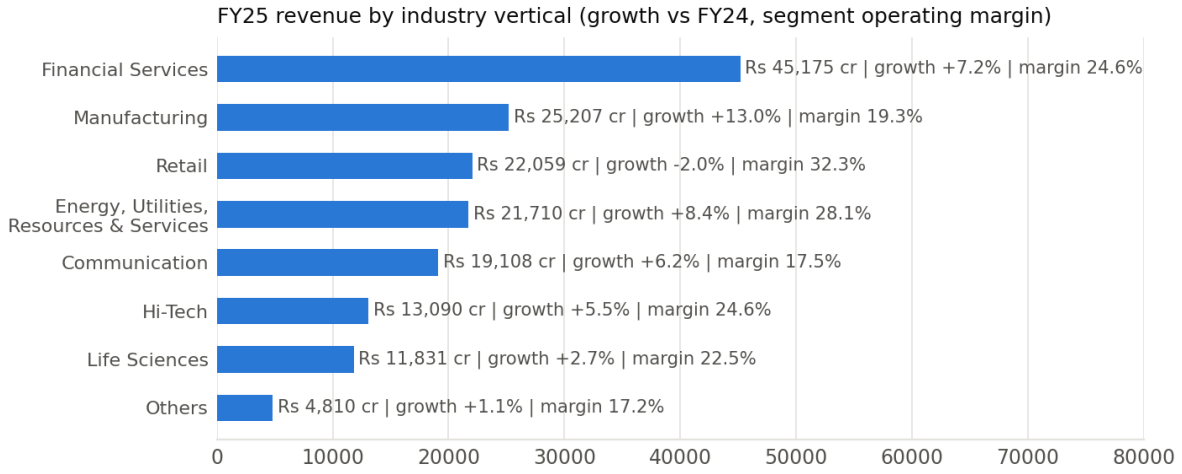
Infosys sells digital services, consulting, cloud, data, AI and engineering services, plus a smaller portfolio of platforms and products (for example Finacle for banks). Most revenue comes from multi-year contracts priced on a time-and-material or fixed-price basis, so revenue is a function of the number of people deployed, their utilisation and the price per unit of effort. Cost is dominated by people (employee cost is about 53% of revenue). Management's current themes are generative AI (Infosys Topaz), cloud, large-deal wins (total contract value US$11.6 bn in FY25) and 'Project Maximus' (value-based selling, lean and automation, utilisation) to protect margins. The group acquired in-tech Holding GmbH (engineering R&D services, Germany) in July 2024, which lifted goodwill by Rs 2.8k crore.

Ownership and market data

Founder families hold roughly 15% of the shares; the rest is held by institutions, foreign investors and retail. Market capitalisation at 31-Mar-2025 was Rs 6,52,332 crore (about Rs 1,573 per share; P/E 24.4x; market cap / revenue 4.0x). Infosys has 414.6 crore shares outstanding (415.2 crore diluted) and pays out around 85% of free cash flow over five-year periods through dividends and buybacks: DPS of Rs 43 was declared for FY25 (Rs 21 interim + Rs 22 final) and Rs 8 special was paid in FY25.

Scale and quality indicators (FY25 Annual Report)

Indicator	FY25	FY24	FY23
Revenue (Rs crore)	162,990	153,670	146,767
Revenue (US$ mn)	19,277	18,562	18,212
Operating margin	21.1%	20.7%	21.1%
Free cash flow (Rs crore)	33,457	23,009	19,888
Cash and investments (Rs crore)	47,996	39,409	31,651
Return on equity	29.0%	32.1%	
Employees (year-end)	323,578	317,240	n.a.
North America share of revenue	57.9%	60.1%	61.8%



Geographic mix (FY25): North America 57.9% (+2.1% YoY), Europe 29.8% (+15.0%, helped by the in-tech acquisition), Rest of World 9.2% (-0.8%) and India 3.1% (+29.2%). No single client exceeds 10% of revenue.

3. Industry and strategic context

Global IT services demand slowed through FY24 and FY25 as clients cut discretionary projects and put cost take-out and vendor consolidation ahead of new digital programmes, while interest rates and geopolitical uncertainty delayed decisions. Infosys grew only 4.7% (INR) in FY24 and 6.1% in FY25 (4.2% in constant currency), but signed record large deals (US$11.6 bn TCV in FY25). Management's FY26 guidance, issued with the Q4 FY25 results in April 2025, was constant-currency growth of 0-3% with operating margin of 20-22% (public results release, not in the Annual Report).

Why this matters for a DCF

- **Currency is part of the story.** Infosys earns in US$, euros and pounds and reports in rupees. A 1% change in the average INR/USD rate changes rupee revenue by about 1%, while rupee costs move much less because most staff are paid in rupees, so depreciation lifts both reported growth and margin.
- **People cost drives margin.** Employee cost is about 53% of revenue. Margin depends on revenue per head versus cost per head: pricing, utilisation, offshore mix and pyramid (freshers hired: 15,288 in FY25). Cost of efforts fell from 56.4% to 55.4% of revenue in FY25 on better onsite mix and utilisation.
- **Third-party pass-through is rising.** Cost of software packages and others rose from 7.4% of revenue (FY23) to 9.8% (FY25) as large deals include more bought-in software and hardware. These dilute margin percentage but earn little margin.
- **Generative AI cuts both ways.** It creates new demand (Topaz, data, cloud) but can deflate effort-based pricing as clients expect productivity pass-through. This is the main reason our Bear case lowers growth and margins together.
- **Capital intensity is low and cash is high.** Capex is only 1.4% of revenue, there is no debt, and Rs 48k crore of cash and investments are being returned through dividends and buybacks.

Key risks to the investment case

- Client discretionary spending, a US slowdown or trade-policy changes (North America is 58% of revenue) and visa costs.
- AI-led deflation of billable effort and pricing pressure on renewals; competition from global and Indian peers.
- Wage inflation and attrition in key skills; margin dilution from large-deal ramp-up and third-party costs.
- Rupee appreciation, which would lower reported growth and margin.
- Tax and legal contingencies disclosed in the notes (not provided for in this valuation).

4. Problem statement and objectives

Problem statement. Using the audited consolidated income statement, balance sheet and cash flow statement for FY2023-24 and FY2024-25, build an integrated forecast for FY26E-FY30E and estimate the intrinsic value per equity share of Infosys Limited as at 31 March 2025 using a discounted cash flow (DCF) approach. Conclude whether the market price of about Rs 1,573 is supported by fundamentals, and identify which assumptions matter most.

Sub-questions the study answers

- How should revenue be forecast for a services business: by industry vertical in US$, then translated to rupees, rather than by a single growth rate?
- How do headcount, utilisation and cost per head translate into margin, and what range of margins is defensible?
- How should a debt-free company with Rs 48k crore of surplus cash be valued: how are cash, other income and leases handled so nothing is double counted?
- Should stock-based compensation be treated as a cost? What discount rate is appropriate for a net-cash IT services company?
- How sensitive is the answer to WACC, terminal growth, exit multiple and growth / margin scenarios, and what do the 24x P/E and market price imply?

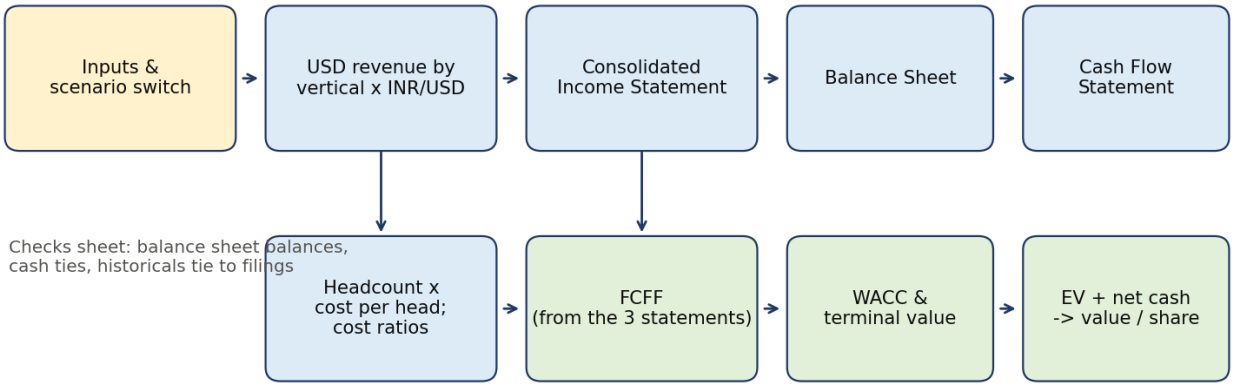
Scope, approach and deliverables

Item	Decision
Statements used	Consolidated Income Statement, Balance Sheet and Cash Flow Statement (Ind AS) only. FY23 comes from the FY24 Annual Report comparatives.
Forecast	Fully integrated three statements, FY26E-FY30E (five years). The balance sheet balances in every year and cash ties to the cash flow statement.
Valuation date	31 March 2025 (end of FY25); FY26E is the first projected year; mid-year discounting.
Method	DCF on free cash flow to firm (FCFF) at WACC. Terminal value by Gordon growth (primary) and exit EV/EBITDA (cross-check), blended 50:50.
Revenue build	US$ revenue for eight industry verticals x average INR/USD. Headcount x cost per head for employee cost; other costs as % of revenue.
Net cash and leases	Cash and all investments added in the bridge; other income excluded from FCFF. Leases treated as debt (switch available).
Scenarios	Bear, Base and Bull driven by constant-currency growth and cost per head.
Deliverables	Excel model (13 sheets, live formulas) and this PDF study.

Why a DCF for Infosys?

Infosys has predictable, contract-backed revenue, low capital intensity and almost no leverage, so cash flows are visible and the discount rate is mostly the cost of equity. The main weakness is the long-dated terminal value, so we show Gordon growth and exit-multiple values side by side, a full sensitivity set, and what the market price implies.

5. Methodology and model architecture



FCFF and valuation formulas

- **EBITDA** = operating profit + depreciation and amortisation, where operating profit = revenue - all expenses except finance cost (company definition; other income is excluded because it is earned on cash that is added separately).
- **NOPAT** = operating profit x (1 - tax rate). **FCFF** = NOPAT + D&A - capex +/- change in working capital - new lease additions (ROU). Stock-based compensation is NOT added back.
- **WACC** = E/(D+E) x Ke + D/(D+E) x Kd x (1 - t), with Ke = Rf + beta x ERP. Debt is only leases (about 1%), so WACC is close to Ke.
- **Enterprise value** = sum of discounted FCFF FY26E-FY30E + discounted terminal value. Terminal value (Gordon) = FCFF(FY30E) x (1+g) / (WACC - g). Terminal value (exit) = EBITDA(FY30E) x multiple.
- **Equity value** = EV + cash and investments - lease liabilities - minorities. Divide by diluted shares (415.2 crore).

How the three statements are linked

- **Income statement:** revenue from the vertical build; employee cost = average headcount x cost per head; sub-contractors, software, travel, communication, consultancy and other costs are % of revenue; D&A and finance cost come from schedules; other income = 6.5% yield on opening cash and investments; tax = 27.5% of PBT.
- **Balance sheet:** PPE, right-of-use assets and intangibles roll forward; working-capital lines are % of revenue; lease liabilities roll in the lease schedule; equity rolls with profit, stock compensation and dividends; cash is the balancing output of the cash flow statement while investments are held flat.
- **Cash flow statement:** indirect method with the same line items as the audited statement. Changes in working capital are differences in balance-sheet lines; lease payments (principal + interest) and dividends are in financing.
- **Integrity:** a Checks sheet tests that assets equal equity plus liabilities in all eight years, that closing cash ties, and that historical segment, geography, cash flow, total-asset and PBT figures tie to the audited statements.

Workbook map

Sheet	Purpose
Summary	Dashboard: headline value, key financials and charts
Inputs	All assumptions; scenario selector; valuation and lease switches
Segments	Reported vertical and geography data, US$ revenue build, headcount and cost-per-head build
IS / BS / CF	Consolidated statements FY23A-FY30E
Sched	Capex, D&A, lease and dividend schedules
WACC	Cost of capital and market-structure cross-check
DCF	FCFF, discounting, terminal value, equity bridge, implied multiples
Sens	Five live sensitivity tables
Scenarios	Bear / Base / Bull output snapshot
Checks / Notes	Integrity tests; methodology and limitations

6. Historical performance (FY23 - FY25)

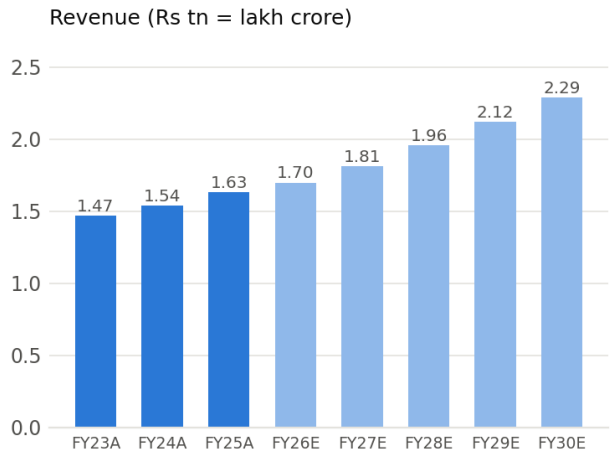
All figures are from the consolidated statements. FY23 comes from the FY24 Annual Report. Operating profit follows the company definition (before other income and finance cost); EBITDA adds back depreciation and amortisation.

Rs crore	FY23A	FY24A	FY25A
Revenue from operations	**146,767**	**153,670**	**162,990**
growth (INR)		4.7%	6.1%
Revenue (US$ mn)	18,212	18,562	19,277
Average INR/USD	80.59	82.79	84.55
EBITDA (excl. other income)	**35,130**	**36,425**	**39,236**
margin	23.9%	23.7%	24.1%
Operating profit	**30,905**	**31,747**	**34,424**
operating margin	21.1%	20.7%	21.1%
Other income, net	2,701	4,711	3,600
Profit before tax	33,322	35,988	37,608
Profit for the year	**24,108**	**26,248**	**26,750**
Basic EPS (Rs)	57.63	63.39	64.50
Cash from operations	22,467	25,210	35,694
Capex	2,579	2,201	2,237
Free cash flow	**19,888**	**23,009**	**33,457**
FCF / net profit	82.5%	87.7%	125.1%
Cash and investments	31,651	39,409	47,996
Lease liabilities	8,299	8,359	8,227
Return on equity		32.1%	29.0%
Revenue per average head (Rs lakh)			50.87

What the history tells us

- **Reported growth is mostly currency.** Revenue grew 4.7% and 6.1% in INR, but US$ revenue grew only 1.9% and 3.9% (the rupee fell from Rs80.6 to Rs84.6 per US$ over two years).
- **Margins have been remarkably stable.** Operating margin 21.1% / 20.7% / 21.1%: cost-of-effort savings and utilisation offset rising third-party costs and wage inflation.
- **Cash generation is strong and lumpy.** FCF was Rs 33,457 crore in FY25 (125% of profit), flattered by low cash taxes (Rs 5.6k crore paid against Rs 10.9k crore expense, because of refunds); our forecast assumes cash tax equals the P&L charge.
- **Earnings were flat in FY25** (+1.9%) because other income fell by Rs 1.1k crore (FY24 had Rs 1.9k crore of one-off interest on tax refunds) and tax rose to 28.9%.

7. Forecast design and assumptions





7.1 Base-case assumptions

Driver (Base case)	FY26E	FY27E	FY28E	FY29E	FY30E
Financial Services US$ growth	2.5%	5.5%	6.5%	7.0%	6.5%
Retail US$ growth	0.5%	3.5%	5.0%	5.5%	5.5%
Communication US$ growth	1.0%	4.0%	5.5%	6.0%	6.0%
Energy, Utilities, Resources US$ growth	3.5%	6.0%	7.0%	7.0%	6.5%
Manufacturing US$ growth	4.0%	7.0%	8.0%	8.0%	7.5%
Hi-Tech US$ growth	-1.0%	3.0%	5.0%	5.5%	5.5%
Life Sciences US$ growth	2.5%	5.0%	6.0%	6.5%	6.0%
Group US$ revenue growth (result)	**2.2%**	**5.1%**	**6.3%**	**6.7%**	**6.4%**
INR depreciation vs US$	2.0%	1.5%	1.5%	1.5%	1.5%
Headcount growth (year-end)	1.0%	2.5%	3.5%	4.0%	3.5%
Employee cost per head growth	4.0%	4.5%	4.5%	4.5%	4.5%
Operating margin (result)	**20.5%**	**20.9%**	**21.2%**	**21.2%**	**21.1%**
Capex, % of revenue	1.60%	1.60%	1.60%	1.60%	1.60%
Tax rate	27.5%	27.5%	27.5%	27.5%	27.5%

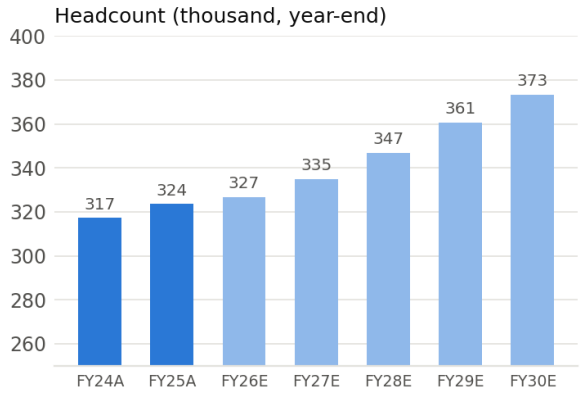
Rationale for the main assumptions

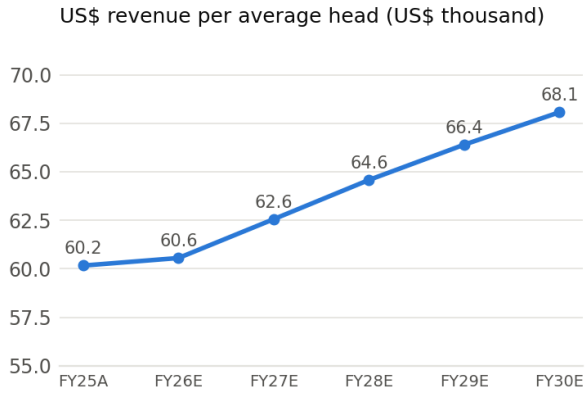
- **US$ growth 2% in FY26E, rising to 6-7%.** FY26E is anchored to management's 0-3% constant-currency guidance (public, April 2025). Growth then recovers as discretionary spend normalises and large deals convert, led by Manufacturing, Energy & Utilities and Financial Services; Retail and Hi-Tech grow slowest.
- **Rupee depreciation 2% then 1.5% a year.** FY25 average was Rs 84.55 per US$ (FY24 82.79). This is a real but uncertain contributor to reported growth; it is an explicit input.
- **Headcount +1% to +4% and cost per head +4-4.5%.** Revenue per head grows 3-5% a year (productivity, pricing, offshore mix) and keeps pace with cost per head, so margin stays near 21%. Employee cost per head was about Rs 26.8 lakh in FY25.
- **Software / third-party costs 9.75% and sub-contractors 7.9% of revenue** are held at FY25 levels; other costs are flat as a % of revenue.
- **Capex 1.6% of revenue** (FY25 1.4%, FY23 1.8%) allows for AI infrastructure and campus upkeep. New leases are 1.35% of revenue.
- **Tax 27.5%** in line with the FY23-FY25 effective rate (27-29%). **Dividends** step from Rs 45 to Rs 60 a share (about 64-69% of profit and 62-63% of FCF). No buybacks are forecast, so cash builds.

8. Forecast financial statements

Rs crore	FY25A	FY26E	FY27E	FY28E	FY29E	FY30E
Revenue	**162,990**	**169,828**	**181,197**	**195,559**	**211,744**	**228,578**
growth (INR)	6.1%	4.2%	6.7%	7.9%	8.3%	8.0%
Revenue (US$ mn)	19,277	19,692	20,700	22,010	23,480	24,972
Employee benefit expenses	85,950	90,723	96,469	103,840	112,587	122,060
Cost of software packages	15,911	16,558	17,667	19,067	20,645	22,286
EBITDA	**39,236**	**39,789**	**42,781**	**46,447**	**50,138**	**53,603**
Operating profit	34,424	34,888	37,855	41,422	44,939	48,157
operating margin	**21.1%**	**20.5%**	**20.9%**	**21.2%**	**21.2%**	**21.1%**
Other income, net	3,600	3,120	3,693	4,301	4,960	5,682
Profit before tax	37,608	37,597	41,117	45,268	49,416	53,325
Profit for the year	**26,750**	**27,258**	**29,810**	**32,820**	**35,827**	**38,660**
EPS (Rs)	64.50	65.65	71.80	79.05	86.29	93.12
Cash from operations	35,694	32,521	34,581	37,391	40,443	43,553
Capex	2,237	2,717	2,899	3,129	3,388	3,657
Free cash flow	**33,457**	**29,804**	**31,682**	**34,263**	**37,055**	**39,896**
Dividends paid	20,287	18,657	19,901	21,559	23,218	24,876
Cash and cash equivalents	24,455	33,280	42,624	52,759	63,873	75,987
Cash + investments	47,996	56,821	66,165	76,300	87,414	99,528
Lease liabilities	8,227	8,627	9,089	9,639	10,280	11,002
Total equity	96,203	105,634	116,428	128,643	142,286	157,186
Return on equity	29.0%	27.1%	26.9%	26.8%	26.5%	25.9%

FY26E profit growth is low (+1.9%) because the Base case follows the low end of management guidance for FY26 and other income dips (the FY25 figure included Rs 327 crore of tax-refund interest). Cash builds because dividends are below free cash flow and no buyback is assumed; this affects the balance sheet but not FCFF or EV.





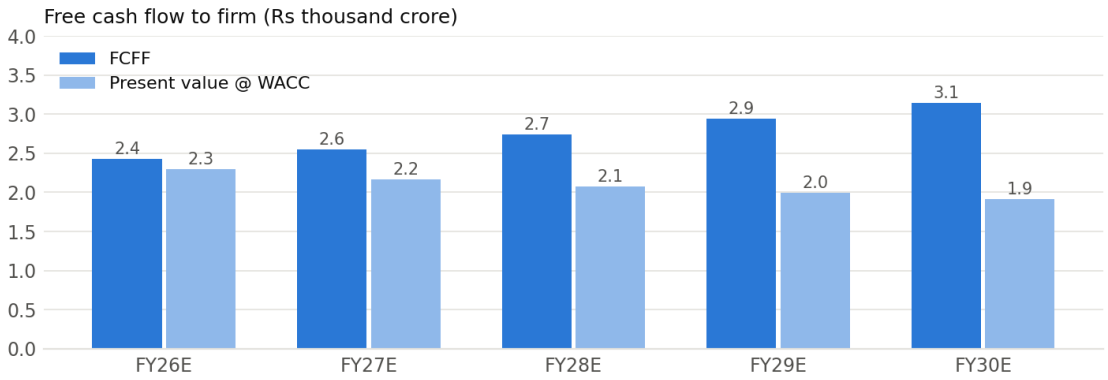
9. Discount rate and DCF valuation

9.1 Cost of capital

Component	Value	Basis
Risk-free rate	6.81%	India 10-year government bond yield, 31-Mar-2025 (6.81%)
Equity beta	0.90	Published betas range ~0.6 to ~0.95 depending on window and source; 0.90 is a judgement near the 3-5 year estimates
Equity risk premium	5.50%	Indian sell-side practice 5-6% over the G-sec
Cost of equity	11.76%	CAPM: 6.81% + 0.90 x 5.5%
Pre-tax cost of debt	6.00%	Lease implicit rate; Infosys has no borrowings
After-tax cost of debt	4.49%	Tax rate 25.17%
Debt / (debt + equity)	1%	Target; market structure is 1.2% (Rs 8,227 crore of leases vs Rs 652,332 crore market cap)
WACC	**11.69%**	**Used for all cash flows and the terminal value**

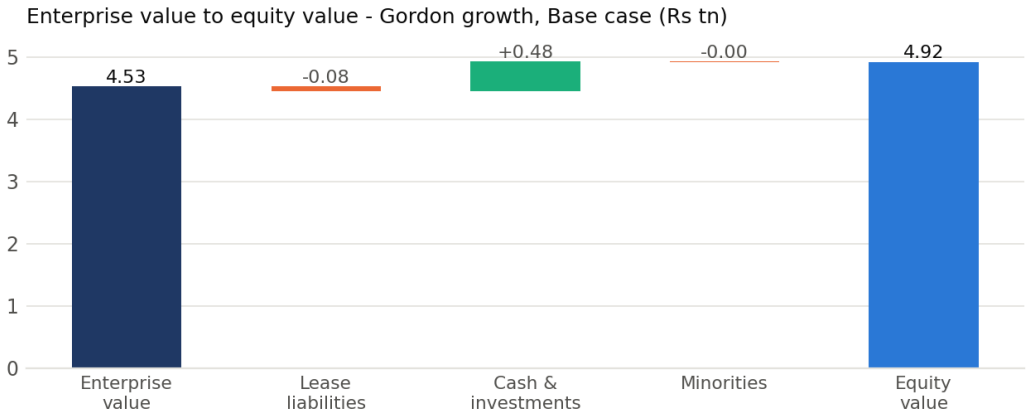
9.2 Free cash flow to firm

Rs crore	FY26E	FY27E	FY28E	FY29E	FY30E
EBITDA	39,789	42,781	46,447	50,138	53,603
- D&A	-4,901	-4,927	-5,025	-5,200	-5,446
Operating profit (EBIT)	34,888	37,855	41,422	44,939	48,157
- Tax on EBIT (27.5%)	-9,594	-10,410	-11,391	-12,358	-13,243
NOPAT	**25,294**	**27,445**	**30,031**	**32,580**	**34,914**
+ D&A	4,901	4,927	5,025	5,200	5,446
- Capex	-2,717	-2,899	-3,129	-3,388	-3,657
+/- Working capital	-898	-1,492	-1,885	-2,125	-2,210
- New leases (ROU additions)	-2,293	-2,446	-2,640	-2,859	-3,086
FCFF	**24,287**	**25,533**	**27,402**	**29,409**	**31,407**
FCFF / EBITDA	61.0%	59.7%	59.0%	58.7%	58.6%
Discount factor	0.946	0.847	0.759	0.679	0.608
Present value of FCFF	22,982	21,632	20,786	19,974	19,099



9.3 Terminal value, enterprise value and equity bridge

Rs crore unless stated	Gordon growth	Exit multiple
Terminal assumption	g = 5.5%	14.0x FY30E EBITDA
Terminal value (undiscounted)	573,196	750,437
PV of explicit FCFF (FY26E-FY30E)	104,473	104,473
PV of terminal value	348,567	431,813
Enterprise value	**453,040**	**536,285**
terminal value as % of EV	76.9%	80.5%
Less: borrowings	nil	nil
Less: lease liabilities	-8,227	-8,227
Add: cash, current and non-current investments	47,996	47,996
Less: non-controlling interests (book)	-385	-385
Equity value	**492,424**	**575,669**
Diluted shares (crore)	415.2	415.2
Value per share (Rs)	**1,186**	**1,386**
Blended 50:50 value per share (Rs)	**1,286**	
Upside / (downside) vs market price Rs 1,573	-24.6%	-11.9%



Cross-checks. The Gordon-growth terminal value equals 10.7x FY30E EBITDA, below the 14.0x exit assumption; the exit multiple implies perpetual growth of 7.2%, above our 5.5%. Our blended EV is about 12.6x FY25 EBITDA, versus 15.6x implied by the market price. Implied P/E on FY25 EPS is 19.9x versus 24.4x in the market.

10. Sensitivity and scenario analysis

Shaded cells are at or above the market price (Rs 1,573). The boxed value is the Base case. All tables are live formulas in the Sens sheet, so they update with any change in the inputs.

10.1 Value per share (Rs): WACC vs terminal growth (Gordon growth)

WACC \ terminal g	g 4.5%	g 5.0%	g 5.5%	g 6.0%	g 6.5%
WACC 10.69%	1,218	1,299	1,395	1,511	1,656
WACC 11.19%	1,134	1,202	1,281	1,376	1,491
WACC 11.69%	1,062	1,120	1,186	1,264	1,357
WACC 12.19%	1,000	1,049	1,105	1,170	1,247
WACC 12.69%	945	987	1,035	1,091	1,155

10.2 Value per share (Rs): WACC vs exit EV/EBITDA multiple

WACC \ exit multiple	12.0x	13.0x	14.0x	15.0x	16.0x
WACC 10.69%	1,284	1,362	1,440	1,518	1,595
WACC 11.19%	1,261	1,337	1,413	1,489	1,565
WACC 11.69%	1,238	1,312	1,386	1,461	1,535
WACC 12.19%	1,216	1,288	1,361	1,433	1,506
WACC 12.69%	1,194	1,265	1,336	1,407	1,478

10.3 Value per share (Rs): equity beta vs equity risk premium (Gordon growth)

Beta \ ERP	ERP 4.5%	ERP 5.0%	ERP 5.5%	ERP 6.0%	ERP 6.5%
Beta 0.70	1,624	1,513	1,417	1,334	1,260
Beta 0.80	1,484	1,380	1,290	1,213	1,144
Beta 0.90	1,368	1,270	1,186	1,113	1,050
Beta 1.00	1,270	1,177	1,098	1,030	971
Beta 1.10	1,186	1,098	1,024	960	904

10.4 Upside / (downside) vs market price: WACC vs exit multiple

WACC \ exit multiple	12.0x	13.0x	14.0x	15.0x	16.0x
WACC 10.69%	-18.4%	-13.4%	-8.5%	-3.5%	1.4%
WACC 11.19%	-19.9%	-15.0%	-10.2%	-5.4%	-0.5%
WACC 11.69%	-21.3%	-16.6%	-11.9%	-7.2%	-2.4%
WACC 12.19%	-22.7%	-18.1%	-13.5%	-8.9%	-4.3%
WACC 12.69%	-24.1%	-19.6%	-15.1%	-10.6%	-6.1%

10.5 Scenario analysis

	Bear	Base	Bull
FY26E revenue (Rs crore)	166,503	169,828	172,322
FY30E revenue (Rs crore)	204,704	228,578	249,917
Revenue CAGR FY25-FY30E (INR)	4.7%	7.0%	8.9%
FY30E operating margin	18.1%	21.1%	23.4%
FY30E EBITDA (Rs crore)	42,203	53,603	64,186
FY30E FCFF (Rs crore)	24,489	31,407	37,736
Enterprise value - Gordon (Rs tn)	3.60	4.53	5.38
Value per share - Gordon (Rs)	962	1,186	1,392
Value per share - exit multiple (Rs)	1,132	1,386	1,620
Blended value per share (Rs)	**1,047**	**1,286**	**1,506**
Upside / (downside) vs market price	**-33.4%**	**-18.3%**	**-4.3%**

- **Bear:** constant-currency growth 2.0-2.5pp lower in every vertical (weak discretionary spend, AI-led price deflation), cost per head +0.5pp higher; headcount flexes 80% with revenue. FY30E margin falls to about 18%.
- **Base:** growth 2% rising to 6-7%, INR depreciation 1.5-2%, margin 20.5-21.2%.
- **Bull:** growth 1.5-2.0pp faster (GenAI-led deal ramp, discretionary recovery), cost per head 0.4pp lower; FY30E margin rises to about 23%.

What the market price implies

At about Rs 1,573 the stock trades at 24.4x FY25 earnings and 15.6x EV/EBITDA, above even our Bull case (Rs 1,506). In the Gordon table the market price needs WACC of about 10.7% with terminal growth of roughly 6.2%, or a combination of Bull-case growth and a WACC near 11%. The market is therefore pricing either a lower discount rate (a beta nearer 0.7 gives about Rs 1,417) or faster, steadier growth than our scenarios, together with the premium Indian investors place on balance-sheet strength and consistent dividends.

Subsequent-event sense check

FY26 has since ended. Press reports of Infosys's Q4 FY26 results (April 2026) cite FY26 consolidated revenue of about Rs 1,78,650 crore (+9.6% in INR) and net profit of about Rs 29,440 crore (+10.2%), with constant-currency growth of about 3.1% and an operating margin around 21%. Our Base case FY26E is Rs 169,828 crore (+4.2%) revenue and Rs 27,258 crore profit. The gap is mostly currency (rupee depreciation was faster than our 2%) and acquisitions; constant-currency growth and margin landed close to our assumptions. These figures are from secondary sources, should be verified against the company filing, and were not used to set any assumption. They suggest the Base case is conservative on rupee growth.

11. Limitations, risks to the valuation and judgement calls

Judgement calls to be ready to defend

Judgement	Choice made	Why / effect
Revenue build	US$ revenue by vertical x INR/USD; scenario adjusts growth in every vertical	Separates real (constant-currency) growth from currency translation; the rupee path is an explicit input
Margin build	Employee cost = headcount x cost per head; other costs % of revenue	Margin is an output of productivity vs wage growth, not an assumed number
Net cash	Add all cash and investments (Rs 47,996 crore); exclude other income from FCFF	Avoids double counting; cash is ~10% of equity value
Leases	Leases as debt (Rs 8,227 crore); new ROU additions deducted from FCFF	Consistent with post-Ind AS 116 EBITDA; switch 2 shows the pre-Ind AS 116 view
Stock compensation	Not added back in FCFF	It is a real cost of talent; adding it back (about Rs 800 crore a year) would overstate value by roughly 2-3%
Terminal value	Gordon 5.5% primary; 14x exit cross-check; working-capital release excluded	TV is about 77% of EV; growth = ~4% US$ + ~1.5% INR depreciation
Beta / ERP	Beta 0.90, ERP 5.5%, Ke 11.76%	Judgement; each 0.1 of beta moves value by roughly Rs 70-80 per share
Tax	27.5% on EBIT and PBT	In line with the FY23-FY25 effective rate (27-29%)

Known limitations

- No explicit modelling of client concentration, pricing models or AI-driven deflation; the scenario growth and cost-per-head adjustments stand in for these.
- Currency is a single average-rate path; there is no hedging gain/loss or cross-currency (EUR, GBP) detail.
- Deferred tax, other comprehensive income, acquisitions and buybacks are not forecast; investments are held flat so surplus cash accumulates.
- Contingent tax and legal liabilities disclosed in the notes are not provided for in the valuation.
- Market price is derived from the company-reported market capitalisation at 31-Mar-2025 (Rs 6,52,332 crore / 414.6 crore shares); the FY26 guidance cited is from the Q4 FY25 results release, not the Annual Report.
- Scenario results on the Scenarios sheet are a pasted snapshot; re-run the selector and paste again after changing assumptions. This work is for study and interview preparation, not investment advice.

Possible extensions an interviewer may ask about

- Trading comparables (TCS, HCLTech, Wipro, Tech Mahindra, Accenture, Cognizant) and a P/E / EV-EBITDA cross-check using peer data.
- A buyback-adjusted per-share model and a cash-return analysis against the 85%-of-FCF policy.
- A USD, EUR and GBP currency-mix model and a pricing / utilisation model by service line.

12. Interview preparation: likely questions and model answers

Q. Walk me through your DCF in 60 seconds.

I forecast Infosys's consolidated income statement, balance sheet and cash flow for five years. Revenue is built by eight industry verticals in US$ and translated at an assumed INR/USD; employee cost is headcount times cost per head; other costs are percentages of revenue. I derive free cash flow to firm, discount it at a 11.7% WACC, add a terminal value, add Rs 47,996 crore of cash and investments, subtract leases and minorities and divide by 415.2 crore shares. The Base case gives Rs 1,286 per share against about Rs 1,573 in the market.

Q. Infosys has no debt. Why use FCFF and WACC at all?

FCFF is capital-structure neutral, so the same method works for any company and the bridge makes the cash visible. Because Infosys's only debt is leases (about 1% of capital), WACC is almost the cost of equity and FCFF is almost the same as free cash flow to equity. The cash pile is added separately in the bridge rather than being discounted.

Q. How do you forecast revenue for an IT services company?

By vertical in US$ because that is the currency clients pay in, then I translate to rupees. Base growth is about 2.2% in FY26E (management guided 0-3% constant currency) rising to 6.7% by FY29E, with a different path for each vertical. Rupee depreciation of 1.5-2% a year adds to reported growth. I cross-check with headcount and US$ revenue per head, which rises from US$ 60k to US$ 68k.

Q. How did you model the operating margin?

Employee cost is about 53% of revenue, so I model it directly as average headcount times cost per head (Rs 26.8 lakh in FY25). Headcount grows about half as fast as revenue because of productivity gains, and cost per head grows 4-4.5%. Software and sub-contractor costs are held at FY25 percentages. The result is a margin of 20.5-21.2%, in line with management's 20-22% band and the last three years (21.1%, 20.7%, 21.1%).

Q. Why is INR depreciation important, and is it double counting?

Reported growth in rupees is about US$ growth plus the change in the exchange rate, so I model them separately. In the terminal value, 5.5% growth is about 4% US$ growth plus about 1.5% depreciation, which is consistent with inflation differentials. It is not double counting as long as the discount rate is a rupee rate (it is: the 6.81% G-sec). The risk is rupee appreciation, which I do not assume.

Q. Why do you not add back stock-based compensation?

Stock compensation (Rs 802 crore in FY25) is non-cash in the statement, so I add it back in the cash flow statement and credit equity. But it is a real cost of employing talent and it dilutes shareholders, so I do not add it back in FCFF. Adding it back would raise value by roughly 2-3%.

Q. How did you treat the Rs 48,000 crore of cash and investments?

I add it in the equity bridge (Rs 47,996 crore) and exclude other income from FCFF, because other income is the return on that cash. Counting both would double count. Cash is about 10% of equity value.

Q. How did you handle leases?

Leases (Rs 8,227 crore) are treated as debt, since EBITDA is post-Ind AS 116. To be consistent I also deduct new right-of-use additions (1.35% of revenue) as a capex equivalent in FCFF. A switch gives the pre-Ind AS 116 view as a cross-check; the difference is small because leases are small.

Q. How did you get your WACC, and is beta subjective?

Risk-free rate is the 6.81% ten-year G-sec at the valuation date, ERP is 5.5%, beta is 0.90 (published estimates range from about 0.6 to 0.95), so cost of equity is 11.8%. With a 1% debt weight WACC is 11.7%. A beta of 0.7 would give about Rs 1,417 per share, so I show a beta vs ERP table.

Q. Why 5.5% terminal growth?

It is below nominal GDP growth (9-10%) and consistent with about 4% US$ growth for the industry plus 1.5% rupee depreciation. The Gordon value equals 10.7x FY30E EBITDA, below Infosys's current ~15x, so it is not aggressive. Terminal value is 77% of EV; at 4.5% growth the Base value falls to about Rs 1,062.

Q. Your value is below the market price. What is the market assuming?

At about Rs 1,573 Infosys trades at 24.4x earnings and about 15.6x EV/EBITDA. My Bear / Base / Bull values are Rs 1,047 / Rs 1,286 / Rs 1,506, so the price is above even the Bull case. To justify it you need either a WACC near 10.7% with 6%+ terminal growth, or sustained 9-10% INR growth. The market is paying for balance-sheet strength, consistent 20-22% margins and cash returns.

Q. What are the biggest value drivers?

WACC and terminal growth (together drive about 77% of EV), then constant-currency growth by vertical, the rupee path, and cost per head versus revenue per head. The Bear to Bull range, driven by growth and cost per head alone, is Rs 1,047 to Rs 1,506.

Q. How would AI affect your forecast?

AI could create demand (data, cloud, Topaz) but also compress billable effort and pricing. The Bear case captures the downside: growth 2-2.5pp lower and cost per head 0.5pp higher, so margin falls to about 18% and value to about Rs 1,050. The Bull case captures the upside of faster deal conversion and productivity-led margin expansion.

Q. Why are dividends and buybacks not in your DCF value?

Value to shareholders comes from the cash flows the business generates, not from how they are distributed. Dividends and buybacks only change the balance-sheet split between cash and distributions (and therefore the cash line and per-share counts if shares are retired). Capital return policy matters for interpreting payout, not for enterprise value.

Q. How do you know the model is not broken?

A Checks sheet tests that the balance sheet balances in all eight years, forecast cash ties between the cash flow statement and balance sheet, and historical segment revenue, geography, operating profit, operating cash flow, total assets and PBT tie to the audited statements. The centre of every sensitivity table reproduces the DCF value exactly.

Q. What would change your view?

Upside: faster large-deal conversion, GenAI-led demand, a weaker rupee, lower funding costs or a higher cash payout. Downside: a US slowdown or trade-policy shocks, AI-driven price deflation, wage inflation and a stronger rupee.

Appendix: sources, data notes and glossary

Sources

- Infosys Limited, Integrated Annual Report 2024-25 (FY 25- INFOSYS.pdf): consolidated balance sheet, statement of profit and loss and statement of cash flows (pp. 302-312); Note 2.26 segment reporting; Note 2.21 leases; MD&A; five-year summary; financial highlights (market capitalisation Rs 6,52,332 crore).
- Infosys Limited, Integrated Annual Report 2023-24 (FY 24-INFOSYS.pdf): FY23 comparatives for all three statements and segment / geography data.
- Market data: India 10-year government bond yield 31-Mar-2025 (6.81%); published Infosys beta references (GuruFocus, Alpha Spread and others). Beta and ERP are judgements.
- Subsequent-event check only: press coverage of Infosys Q4 FY26 results (not used in any assumption); FY26 guidance from the Q4 FY25 results release.

Data notes

- US$ revenue by vertical is derived as INR revenue divided by the average INR/USD rate implied by reported total revenue; cross-currency effects are included, so vertical growth rates are approximations of constant-currency growth.
- Segment EBITDA equals reported segment operating income; total segment operating income less unallocable expenses (D&A) equals operating profit.
- Headcount for FY23 is not used. Employee cost per head is computed on average headcount for FY25 only.
- The investing cash flow statement lists purchases and sales of investments separately; the model groups them as net (purchase)/sale of investments.
- Cash and investments in the model (Rs 47,996 crore) include about Rs 447 crore of equity / preference holdings that the company excludes from its own figure of Rs 47,549 crore.

Glossary

Term	Meaning
crore / lakh crore	1 crore = 10 million; 1 lakh crore = Rs 1 trillion
TCV	Total contract value of deals signed
FCFF	Free cash flow to firm: cash available to all capital providers
WACC	Weighted average cost of capital
NOPAT	Net operating profit after tax = operating profit x (1 - t)
ROU	Right-of-use asset recognised under Ind AS 116 leases
NCI	Non-controlling (minority) interests
cc	Constant currency
Project Maximus	Infosys programme for value-based selling, lean / automation and utilisation to protect margin